



Saipem – Subsea7

MN-01072

Notice of Competition Concerns – Summary

10 August 2026

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1. Introduction

- 1.1. On 27 April 2026, Saipem S.p.A (**Saipem**) and Subsea7 S.A (**Subsea7**) lodged a notification with the Australian Competition and Consumer Commission (**ACCC**) in respect of Saipem's proposed merger with Subsea7 (the **Acquisition**).
- 1.2. On 2 July 2026, the ACCC decided that the Acquisition is to be subject to Phase 2 review.
- 1.3. When an acquisition is notified in accordance with the *Competition and Consumer Act 2010* (Cth) (the **Act**) and is subject to Phase 2 review, the ACCC must give the notifying party a Notice of Competition Concerns (**NOCC**), no later than the 25th business day after the start of the Phase 2 determination period or, if not practicable by that day, as soon as practicable after that 25th business day.
- 1.4. The NOCC must set out the ACCC's preliminary assessment of whether the acquisition, if put into effect, would have the effect, or be likely to have the effect, of substantially lessening competition in any market, and the grounds on which the ACCC makes its assessment, referring to the evidence or other material on which those grounds are based.
- 1.5. This is a summary of the NOCC as required to be published on the Acquisitions Register.¹

2. Background

The Acquisition

- 2.1. On 23 July 2025, Saipem and Subsea7 (the **Parties**) entered into a merger agreement to combine their two businesses. The merger will be effected by absorbing Subsea7 into Saipem. The merged entity would be known as Saipem7.

Saipem

- 2.2. Saipem is a global engineering and construction company, based in Italy, that provides services for the oil and gas industries, across both offshore and onshore projects.
- 2.3. These services include the design, engineering, procurement, construction, fabrication and installation of subsea infrastructure - umbilicals, risers and flowlines – that connects subsea wells and production systems to certain surface facilities (known as **SURF**). Saipem operates a fleet of pipelaying and other vessels through which it provides these services.
- 2.4. Saipem also provides offshore wind infrastructure services (**Offshore Wind Infrastructure**) (limited to foundations and substations); inspection, repair, maintenance and decommissioning (**IRMD**) of subsea infrastructure and assets; and the maintenance, modification and operation of energy assets. Saipem also provides trunklines and fixed offshore platforms and specialises in above-the-surface and onshore activities.

¹ See section 51ABZZI of the *Competition Consumer Act 2010* (Cth); Section 5-2(1)(e) of the *Competition and Consumer (Notification of Acquisitions) Determination 2025*.

Subsea7

- 2.5. Subsea7 is a global engineering and construction company, based in Luxembourg, that provides services for the offshore oil and gas industries.
- 2.6. Subsea7 operates a fleet of pipelaying and other vessels through which it provides SURF, Offshore Wind Infrastructure and IRMD services. The Parties submit that Subsea7's capabilities are primarily focused on 'below-the-surface' activities and that its offering 'above-the-surface' is small. Subsea7 also provides stand-alone engineering services.

Industry background – SURF services

SURF services in Australia

- 2.7. Offshore energy (oil and gas) projects entail the engineering, construction and maintenance of infrastructure across the full lifecycle of offshore energy projects (referred to as Offshore Engineering, Construction and Maintenance or **OECM**). OECM projects include SURF, Offshore Wind Infrastructure and IRMD.
- 2.8. Customers of OECM services in Australia are primarily oil and gas companies including Chevron, ExxonMobil, Santos and Woodside Energy.
- 2.9. SURF services involve the design, engineering, procurement, fabrication, construction and installation of the subsea infrastructure composed of equipment plus pipelines and cables that connect subsea wells and production systems to surface facilities.
- 2.10. Offshore oil and gas projects that require SURF services have varying requirements, informed by location, geographic conditions, the technical requirements of the project and the regulatory landscape (including safety and other requirements), which influence market dynamics.
- 2.11. Geographic and technical conditions that can affect a SURF project include water depth, climate, harshness of environment, harshness of the chemicals being transported and pipe diameter requirements.
- 2.12. As projects requiring SURF services are typically used in deep and harsh waters compared with conventional oil and gas projects, they generally require specialised vessels and technical expertise to install the subsea umbilicals, risers, and flowlines, that typically connect subsea wells to floating facilities.
- 2.13. In Australia, projects are typically geographically remote, subject to Australia-specific regulatory and environmental requirements, and to seasonal weather considerations, including cyclone-prone conditions. Oil and gas projects in Australia range from shallow to ultra-deepwater.
- 2.14. SURF projects may be completed using one of a number of different pipelaying methods. The four major pipelay methods are J-Lay, S-lay and reel-lay (each an example of rigid pipelay) and flex-lay. The features of each method may make them more or less appropriate for certain projects.

SURF service providers

- 2.15. Providers of SURF services globally, in addition to the Parties, include TechnipFMC, Allseas, McDermott, Vantris Energy, and DOF Subsea. Each supplier has their own pipelay capabilities and strengths depending on the vessels they own and/or operate (across flex-lay and each of the rigid lay methods) as well as expertise and experience.
- 2.16. Information before the ACCC suggests that market participants generally distinguish between a broader group of SURF suppliers and a smaller class of suppliers, commonly referred to as Tier 1 suppliers, that is, those suppliers that compete credibly for large, complex or technically demanding offshore projects. Market feedback has identified Saipem, Subsea7, TechnipFMC and to a lesser extent, Allseas and McDermott as Tier 1 suppliers in Australia.

Competition to supply SURF services to Australian OECM projects

- 2.17. Energy companies, such as Chevron, ExxonMobil, Santos and Woodside Energy, acquire SURF services for their OECM projects in Australia.
- 2.18. Competition to supply SURF services generally takes place through tender processes, on a project-specific basis. Customers may design tender processes with different scopes. For example, a customer may invite tenders for one supplier to provide the full scope of engineering, construction, procurement and installation for the entire project phase or split packages where work is divided among multiple suppliers.

Overlap and relationship between the Parties

- 2.19. The Parties overlap in the supply of SURF services in Australia.
- 2.20. While the Parties overlap in the supply of IRMD services and Offshore Wind Infrastructure in Australia, materials before the ACCC indicate there are multiple alternative providers in each industry. As a result, these markets are no longer areas of active investigation for the ACCC and will not be considered further in the Notice.

3. Relevant areas of competition

- 3.1. The ACCC's preliminary view is that the relevant market for the purpose of assessing the impact of this acquisition on competition is the supply of SURF services in Australia.
- 3.2. In terms of the product dimension, the ACCC's view, based on the materials before it, is that there is a degree of substitutability in pipelaying methods, particularly in relation to rigid pipelay (J-lay, S-lay and reel-lay). Though customer requirements vary from project to project, the ACCC's preliminary assessment is that for at least some projects (such as those occurring in deep or harsh water), there is closer substitutability between different rigid pipelay methods. In addition, for these projects, there are only a small number of SURF service providers that have the capability, expertise and experience to service them.
- 3.3. In terms of the geographic dimension, the Parties submit that the relevant geographic market is either global or regional (APAC).

- 3.4. While the Parties and their competitors operate globally, the ACCC considers it appropriate to focus its review on the effect of the Acquisition on competition in Australia.

4. Summary of preliminary competition assessment

- 4.1. The ACCC identified in the Phase 2 notice published on 7 July 2026 that the supply of SURF services in Australia was an area in which it was satisfied that the Acquisition could have the effect or likely effect of substantially lessening competition.
- 4.2. Since publishing the Phase 2 notice, the ACCC has continued, and is continuing, to analyse the likely competitive effects of the Acquisition in the SURF services market in Australia.
- 4.3. The ACCC's preliminary assessment is that the Acquisition would be likely to have the effect of substantially lessening competition in the supply of SURF services in Australia.
- 4.4. Informing its preliminary assessment, the ACCC has considered:
- the characteristics and requirements of specific projects requiring SURF services in Australia
 - the customers for SURF services in Australia and providers able to supply SURF services, and in particular the providers able to supply SURF services required for large, complex or technically demanding offshore projects
 - the role of tender processes (and pre-tender engagement) and competitive dynamics in SURF projects
 - vessel availability and capability.
- 4.5. On the information currently before it, the ACCC considers that:
- the Acquisition would remove competition between Saipem and Subsea7, two of a small number of SURF service suppliers with the requisite Australian experience, specialised vessels, and commercial viability capable of supplying particularly large, complex and/or or technically demanding SURF projects in Australia
 - remaining alternative SURF service providers would be unlikely to effectively constrain the merged entity, particularly where remaining alternative suppliers would not have an offering comparable to that of the merged entity
 - barriers (including the vessel availability, long lead times and technical expertise required to procure, maintain and staff highly specialised vessels) mean there is unlikely to be timely and sufficient entry and/or expansion to provide an effective competitive constraint on the merged entity post-acquisition
 - it is unlikely that SURF customers would self-supply or sponsor new entry in the foreseeable future.
- 4.6. Materials received from market participants and the Parties indicate that the Parties appear to compete in the relevant market. The Parties compete closely in relation to

larger, more complex projects. Evidence before the ACCC suggests that the main competitors for these projects in Australia are the Parties and TechnipFMC.

- 4.7. The ACCC is continuing to consider the nature and extent of competition between the Parties in the absence of the Acquisition. In particular, the ACCC is considering what future tender opportunities will likely be available in Australia, whether Saipem and Subsea7 are likely to bid against one another for those opportunities and the number and identity of other prospective bidders.
- 4.8. Materials before the ACCC indicate that the provision of SURF services requires access to highly specialised vessels, experienced personnel, technical capability across engineering, procurement, construction and installation, and knowledge of the relevant environmental and geographic conditions (including meeting Australian regulatory standards). SURF service providers also face material execution risk and substantial financial consequences for delay or failure of projects.
- 4.9. These requirements involve a significant upfront and ongoing cost which is likely to limit the ability of a provider to enter or expand such that it can compete in tender processes for Australian projects.
- 4.10. Likewise, the ACCC's preliminary view is that it appears unlikely that any operator could credibly threaten to bypass the merged entity by self-supplying SURF services or sponsoring a new provider of SURF services to operate in the region for the same reasons. Therefore, despite customers of SURF services being large and sophisticated, the ACCC's preliminary assessment is that such customers would be unlikely to constrain the exercise of market power by the merged entity.
- 4.11. The ACCC's assessment is forward-looking and in this context, the ACCC is also considering, in the absence of the Acquisition, the likelihood of Saipem expanding its presence in Australia to compete more strongly with Subsea7 and other providers.
- 4.12. The ACCC will continue considering these issues.

5. Next steps

- 5.1. Following the release of the NOCC, and consistent with section 51ABZL of the Act, the notifying party (Saipem) has an opportunity to respond to the matters set out in the NOCC by 14 September 2026.
- 5.2. Under the current statutory timeframe, the ACCC must issue a determination in response to the Acquisition by 10 November 2026.